



State Employment Leadership Network

Accessing Self-Employment Options

by Paige Rose

Purpose of the Resource

This document is a practice and policy framework for state intellectual and developmental disability (IDD) systems and their partners. It includes information about what to consider when providing responsible self-employment services. With this resource, we aim to:

- » help SELN member states decide whether and how to make self-employment a robust option for people with IDD
- » highlight how to work with the state's vocational rehabilitation (VR) system and other entities to fund and support self-employment
- » identify benefits, challenges, and policy issues that should be addressed before promoting self-employment as a feasible option

Why Choose Self-Employment?

Self-employment may be one possible starting point on a person's employment journey, or it might be an approach to take when considering new and alternative career options that better align with their long-term goals. It is a complex option requiring thoughtful planning and policy. It is not intended to be a fallback for people who were unsuccessful in traditional jobs. This document emphasizes important considerations for self-employment to be a legitimate and appropriate choice for people with disabilities, especially IDD, when the following conditions apply:

- » The person wants greater control over how, when, and where they work.
- » Traditional jobs in the local labor market do not match their skills, needs, or interests.
- » The person needs individualized supports that are easier to embed in a self-designed job.

- » They live in areas with limited employment options or resources (e.g., job coach availability, transportation).
- » A flexible schedule better aligns with their disability-related needs, health management, and personal and family responsibilities.
- » Work hours are tailored to align with benefits coordination and management.
- » They may have criminal backgrounds that are a barrier to traditional hiring.

What are the Types of Self-Employment?

Self-employment is a broad category of working for oneself and it is important to consider up front what the goal is. Each type of self-employment has different implications for taxes, liability, supports, and policy. Systems need to know how to treat each type of self-employment in policy and service design, which supports are appropriate, and how to distinguish a true business from casual or hobby activities.

- » **Sole proprietorship** is working on one's own. It is a simple structure where the person may bear full liability and administrative responsibilities.
- » **Freelance or independent contracting** offers specialized skills on a project basis. It is common in creative, technical, and service fields.
- » **Gig work** is platform-based work, often arranged through apps. This work is highly flexible but may have intermittent income and fewer protections.
- » **Microbusiness** is a type of self-employment typically characterized by fewer than 10 employees and lower revenue. All microbusinesses are deemed self-employment, but not all self-employment qualifies as a microbusiness.

Is Self-Employment the Best Option?

Self-employment is not automatically the right option. Here are several key decision-making questions to consider:

- » Why does the person want this kind of business?
- » Are they genuinely interested in operating a business or just discouraged by prior job searches and experiences?
- » Do they have or have access to sufficient skills and expertise to make the business successful?
- » Is the person able to dedicate consistent and adequate time and effort to manage the business?
- » What resources do they need? Where will these resources come from?
- » What level and type of support will they need to start, maintain, and grow the business?

When deciding if self-employment is the best option, it may be helpful for the job seeker to speak with someone who has first-hand experience. A [peer mentor](#) who has already started their own business is an ideal connection. You or a partner agency can help arrange this career planning activity early in the discussion to inform their decision making. Mentors can be influential links to economic capital and social connections needed to leverage self-employment as a viable, more informed option.

What Considerations Should You Address?

There are several critical domains to address for self-employment to be viable and sustainable.

- » **Securing start-up funding.** VR funding, [SCORE](#), Small Business Administration ([SBA](#)), and state-specific resources may be available if the person qualifies. Agencies must learn how to help job seekers access these resources.
- » **Business planning.** The [Job Accommodation Network](#) and the Small Business Hub section of the [National Disability Institute](#) house various external resources. A well-written and realistic business plan and feasibility analysis are essential.
- » **Understanding paid benefits.** There are no benefits like paid leave for vacations or

illness or options for retirement savings. Some people may need to maintain Medicaid/Medicare or shift to a different plan and seek alternative retirement savings approaches. We advise [contacting the state Medicaid office](#).

- » **Managing public benefits.** Self-employment income can significantly affect public benefits, especially for people receiving Social Security. It is critical for the job seeker to understand work incentives and accurate income reporting. It is important to reference [Social Security's Ticket to Work Program](#) for up-to-date guidance and locating assistance. There are specific self-employment income rules that differ from wage employment. Engage a benefits specialist early, before launching the business.
- » **Managing finances** (payroll, bills, taxes). It can be challenging to navigate financial responsibilities of self-employment, and people may need assistance at times. We suggest consulting with a trusted tax professional and reviewing the [IRS Self-Employed Tax Center](#).
- » **Differentiating hobby/work activities from self-employment.** Some agencies set threshold criteria to decide when an activity counts as self-employment. The IRS also provides a [set of factors](#) to distinguish a bona fide business from a hobby.
- » **Potential for isolation.** While some people prefer working on their own, self-employment can be socially isolating. If a person feels lonely and wants more interaction, they may need deliberate support to stay connected. Teams can encourage connections within industry-specific networks, collaboratives, councils, and peer groups. The job seeker may need help with scheduling activities and social events outside of work. Providers are encouraged to monitor isolation risk and proactively link people to community resources.
- » **Timing.** Timing is individualized, but for laid off or dislocated workers, some states have a [Self-Employment Assistance program](#). These are managed by the US Department of Labor and help unemployed workers transition to self-employment as an alternative to an immediate job search.

Did You Know?

Eligible state vocational rehabilitation (VR) applicants can choose self-employment as a career goal. If the team determines it is achievable, the VR counselor and participant will develop an Individualized Plan for Employment (IPE) that includes self-employment services. Typical VR-funded services may include, but are not limited to, the following services:

- » Business plan development
- » Feasibility studies
- » Training in business management
- » Technical or occupational training (e.g., certificate programs)
- » Inventory and raw materials
- » Tools and equipment
- » Insurance deposits
- » Start-up rent
- » Business-use computers

State VR agencies can authorize funds for these, but the specifics depend on the [State's VR self-employment policy](#).

Questions for State IDD Systems to Analyze:

Establishing strong self-employment options can be complicated. Consider the following questions:

- » Do case workers who guide employment and job-goal conversations receive fundamental training on self-employment options?
- » Are onerous assessments or tests required that might discourage people from even trying?
- » Is support accessible to help job seekers and representative payees/guardians understand how self-employment income affects individual and household benefits?
- » Is funding available:
 - to pay staff to provide support for these activities or resources?
 - for people to explore business ideas and develop concepts into concrete plans?
- » Does the IDD agency have a self-employment policy? Has this policy been recently reviewed and revised?

Core Policy Content Areas

The following are policy components that systems should consider having in place:

1. Clear Decision Criteria

Standards for:

- » documenting rationale for choosing self-employment versus traditional employment
- » determining support levels and where they will come from
- » defining what counts as a viable business versus a hobby or side-income activity

2. Staff Competencies

- » Recognition that self-employment requires specific expertise beyond generic employment support
- » Clear guidance on what competencies are required to assist with self-employment planning
- » Specialized training or partnerships may be necessary

3. External Funding and Capacity-Building Resources

Policies should encourage or require exploration of:

- » state VR
- » [Social Security Plans to Achieve Self-Support \(PASS\)](#)
- » [Individual Development Accounts \(IDAs\)](#)
- » [ABLE accounts](#)

These tools can provide capital, savings mechanisms, and financial planning tailored to self-employment.

4. Interagency Partnerships

Recommended partners include:

- » VR
- » workforce development
- » small business development agencies

Interagency policies specific to self-employment help clarify roles and make services more seamless and accessible.

Additional Systematic Considerations and Risk Factors

1. Significant Expertise and Resources are Needed

IDD systems and providers must decide:

- » how much to invest in developing specialized self-employment expertise
- » where that expertise will reside (within agencies, contracted providers, or external partners)

2. Failure Risk

- » Start-ups and self-employment have high failure rates, especially over the long term
- » Systems and individuals must carefully consider risk tolerance
- » Self-employment should fit into a broader career path, not be viewed as a one-shot attempt

3. Gig Economy Considerations

- » The growing gig economy offers lower barriers to entry for some kinds of work
- » Consider connections to entities that can provide supports specific to the chosen gig or industry

4. Intrinsic Interest vs. Last Resort

- » Self-employment should be pursued only if the individual is genuinely interested in operating a business.
- » It should not be used just because of challenges encountered in a traditional job search

Conclusion

Self-employment can offer control, flexibility, and customization. These elements are especially important for people with IDD. Self-employment may be a viable and attractive option, but many people may not succeed on their first try. Careful planning, robust supports, and thoughtful policy structures are essential to mitigate the significant risks involved. Success depends heavily on authentic interest, adequate skills and supports, and realistic planning and funding.

This document is a starting framework for states and providers to examine their current practices and identify needed improvements and partnerships. For more information, if you have questions, and if you have examples of policy, best practices, documents, or resources to share, reach out to Paige Rose by email at Paige.Rose@umb.edu.

Additional Resources:

The following external resources indicate broader current developments in self-employment for people with disabilities:

- » **[ABLE Accounts and Self-Employment:](#)** policy and practice attention to using ABLE accounts as part of business financing and asset building
- » **[National and State Resources for People with Disabilities:](#)** advocacy and multi-layered support for people with disabilities
- » **[ODEP Self-Employment and Entrepreneurship:](#)** reflects the US Department of Labor's Office of Disability Employment Policy focusing on entrepreneurship as a pathway
- » **[Self-Employment Assistance:](#)** US Department of Labor programs focused on unemployed workers starting businesses
- » **[NCSL Self Employment overview:](#)** state legislatures' engagement with self-employment policy
- » **[DETAC 2022 Self Employment Brief:](#)** an example of recent technical assistance and analysis focused on disability and self-employment

For more information:

Paige Rose

Paige.rose@umb.edu



**State Employment
Leadership Network**



The SELN is a place for states to connect, collaborate, and create cross-community support regarding pressing employment-related issues at state and federal levels for individuals with developmental disabilities.

The SELN was launched in 2006 as a joint program of the National Association of State Directors of Developmental Disabilities Services and the Institute for Community Inclusion at the University of Massachusetts Boston.

For more information:

Suzanne Freeze

Project Director
ICI/UMass Boston
suzanne.freeze@umb.edu

Wesley Anderson

Director of Employment and Community Services
NASDDDS
wanderson@nasddds.org

www.selnhub.org